

Table 9.12 Suggested Vehicles to Deploy DIY

Vehicle Recommended	
Active Domestic Value	Active ETF, Less than 50 stocks, at least annually rebalanced
Active Domestic Momentum	Active ETF, Less than 50 stocks, at least quarterly rebalanced
Active International Value	Active ETF, Less than 50 stocks, at least annually rebalanced
Active International Momentum	Active ETF, Less than 50 stocks, at least quarterly rebalanced
REIT	Active ETF, Less than 50 REITs, at least quarterly rebalanced, momentum-focus
Commodities	ETF, ETN, term-structure and momentum focus
Bonds	ETF, ETN, low-cost passive focus

Notes

¹ See Victor DeMiguel, Raman Uppal, Yuliya Plyakha, and Grigory Vilkov, “Improving Portfolio Selection Using Option-Implied Volatility and Skewness,” *Journal of Financial and Quantitative Analysis* 48, no. 6 (2013) and Victor DeMiguel, Lorenzo Garlappi, Francisco J. Nogales, and Raman Uppal, “A Generalized Approach to Portfolio Optimization: Improving Performance by Constraining Portfolio Norms,” *Management Science* (March 6, 2009).

² Prior to June 1982, we use data from Amit Goyal's website:
<http://www.hec.unil.ch/agoyal/docs/PredictorData2013.xlsx>.

³ This is a short time period, and the results must be taken with a grain of salt, but this is the best we can achieve given data limitations.

⁴ Prior to June 1982, we use data from Amit Goyal's website:
<http://www.hec.unil.ch/agoyal/docs/PredictorData2013.xlsx>.